6. Income Taxes

Net income tax expense is the tax calculated for the year based on the Company's effective tax rate plus the change in deferred income taxes during the year. The elements of income tax expense are as follows:

	December 31, 2007	December 31, 2006	December 31 2005
		(In thousands)	
Current	$ 826	$ 4,293	$ 3,234
Deferred	(352)	1,699	2,027
	$ 474	$ 5,992	$ 5,261

For the year ended December 31, 2007, income of $519,000 was earned in Bermuda and is included in the Company's income tax calculation.

Brooke Corporation

Notes to Consolidated Financial Statements — (Continued)

Reconciliation of the U.S. federal statutory tax rate to the Company's effective tax rate on pretax income, based on the dollar impact of this major component on the current income tax expense:

	December 31, 2007	December 31, 2006	December 31, 2005
U.S. federal statutory tax rate	35%	35%	35%
State statutory tax rate	4%	4%	4%
Miscellaneous	(16)%	(3)%	(4)%
Effective tax rate	23%	36%	35%

The miscellaneous adjustment above includes the taxes of Brooke Capital Corporation which files a separate tax return.

Reconciliation of income tax receivable:

	December 31, 2007	December 31, 2006
	(In thousands)	
Income tax receivable — Beginning balance, January 1	$ 480	$ 830
Income tax payments over (under) current tax liability	1,518	(350)
Income tax receivable — Ending balance	$ 1,998	$ 480

Reconciliation of deferred tax liability:

	December 31, 2007	December 31, 2006
	(In thousands)	
Deferred income tax liability — Beginning balance, January 1	$ 7,594	$ 5,141
Accumulated other comprehensive income, unrealized gain (loss) on interest-only strip receivables	2,071	163
Accumulated other comprehensive income, currency exchange	—	(68)
Gain on sale of notes receivable	(1,548)	2,358
Balance, December 31	$ 8,117	$ 7,594

	December 31, 2007	December 31, 2006
	(In thousands)	
Deferred income tax liability — Current	$ 1,715	$ 1,439
Deferred income tax liability — Long-term	6,402	6,155
Deferred income tax liability — Total	$ 8,117	$ 7,594

Deferred tax liabilities were recorded to recognize the future tax consequences of temporary differences between financial reporting amounts and the tax basis of existing assets and liabilities based on currently enacted tax laws and tax rates in effect for the years in which the differences are expected to reverse.